Audit Failures by Auditor Group and Denominator

Outcome (percent)	Big 4	Local 8	Other
Panel A: Unconditional event rate			
Any failure: strict	2.26	6.47	7.84
Restatement: strict	1.09	3.29	3.61
Violation	1.53	4.37	5.68
Any failure: middle	4.50	11.16	12.55
Restatement: middle	3.51	8.69	9.36
Any failure: broad	10.16	17.11	19.12
Restatement: broad	9.28	14.92	16.36
Denominator (all opinions)	4,782	35,720	31,082
Panel B: Event jointly with MAO=0			
Any failure: strict	1.99	5.37	5.94
Restatement: strict	0.92	2.71	2.65
Violation	1.34	3.59	4.23
Any failure: middle	4.12	9.68	10.09
Restatement: middle	3.22	7.56	7.57
Any failure: broad	9.49	15.29	16.05
Restatement: broad	8.68	13.38	13.85
Denominator (all opinions)	4,782	35,720	31,082
Panel C: Event conditional on MAO=0			
Any failure: strict	2.03	5.63	6.56
Restatement: strict	0.94	2.84	2.93
Violation	1.37	3.76	4.68
Any failure: middle	4.21	10.14	11.14
Restatement: middle	3.29	7.92	8.36
Any failure: broad	9.71	16.01	17.72
Restatement: broad	8.88	14.01	15.29
Denominator (MAO=0)	4,675	34,109	28,148

Notes: Descriptive rates in percent.